

OVERVIEW

Project Meridian is a real-estate private-equity value-add deal built to institutional-committee standard. A sponsor acquires an under-rented 120-unit UK residential block, renovates it to a rent premium, refinances mid-hold to return capital, and exits on a compressed yield. The equity is a joint venture between an institutional **LP (90%)** and the sponsor **GP (10%)**, with profits split through a two-tier promote over an 8% preferred return. The model runs the property cash flow, the debt and refinance, and the full distribution waterfall, and states an IC recommendation.

THE DEAL & BUSINESS PLAN

Acquisition & plan		Capital structure	
Units / purchase price	120 / £22.0m (£183k/unit)	Total project cost	£25.74m
Acquisition costs	5% (£1.1m)	Senior debt (60% LTC, 6% IO)	£15.44m
Renovation	£22k/unit, phased over 24 mo	Equity (LP 90% / GP 10%)	£10.30m
In-place → renovated rent	£1,150 → £1,400 / mo	Refinance (end Yr3, 65% LTV)	£20.05m new loan
Occupancy (entry → stabilised)	90% → 95%	Refi proceeds returned	£4.60m
Hold / exit yield	5 years / 4.50%	Net sale proceeds to equity (Yr5)	£13.97m

Basis: illustrative UK Build-to-Rent parameters (regional net yields ~4.5–5.0%, senior LTC ~60%, value-add rent premia on refurbishment). **No real asset, client or portfolio data is used.**

THE WATERFALL — HOW PROFITS ARE SPLIT (THE CENTREPIECE)

Distributions (operating cash after debt, plus the refinance and sale capital events) flow through four tiers:

- **1 — Return of capital:** pro-rata (LP 90% / GP 10%) until capital is repaid.
- **2 — 8% preferred return:** pro-rata, until the LP has earned an 8% IRR (tracked via an accrual account).
- **3 — 80/20 (LP/GP):** the GP's first promote tier, until the LP reaches a 15% IRR.
- **4 — 70/30 (LP/GP):** the GP's second promote tier, above a 15% LP IRR.

The **Year-3 refinance is a capital event** that runs through the waterfall (return of capital first), which changes the timing of the pref and the promote — the part most candidate models get wrong. The model uses hurdle accrual accounts for the 8% and 15% IRR tiers, and a check confirms LP + GP distributions equal total distributions in every period.

KEY RESULTS

Return	Property	LP (90%)	GP (10%)
IRR		18.3%	17.1%
Equity multiple		2.00x	1.90x
Unlevered IRR (property)		10.7%	—

GP promote: £0.83m

The deal clears both the 8% preferred and the 15% second hurdle, so the **full two-tier promote engages**: the GP receives ~14% of distributions versus its 10% pro-rata share, an ~£0.83m promote. The Year-3 refinance returns £4.6m of capital, de-risking the equity ahead of exit.

SENSITIVITY & RECOMMENDATION

The return is most sensitive to the **exit yield**: the levered project IRR moves from ~23.5% at a 4.00% exit to ~13.4% at 5.00% — a +25bps move still leaves the deal comfortably above hurdle. Other key risks are renovation cost / timing overrun and slower lease-up. **Recommendation: approve** the acquisition at £22.0m and the JV terms as structured.

SKILLS DEMONSTRATED

Value-add underwriting · phased renovation & NOI build · senior debt sizing and a mid-hold refinance capital event · **multi-tier LP/GP distribution waterfall with preferred return and two-tier promote** · property vs partner-level returns (LP/GP IRR & multiple, promote) · sensitivity analysis · IC-standard presentation and recommendation.